



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

CANDIDATE
NAME

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CENTRE
NUMBER

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CANDIDATE
NUMBER

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ACCOUNTING

6896/01

Paper 1

October/November 2025

1 hour 45 minutes

Candidates answer on the Question Paper.

Additional material: Calculator

READ THESE INSTRUCTIONS FIRST

Write your name, centre number and candidate number in the spaces provided.

Write in dark **blue** or **black** pen.

You may use a soft pencil for rough working.

Do **not** use staples, paper clips, highlighters, glue or correction fluid.

Do **not** write on the barcode.

Answer **all** questions.

Where layouts are to be completed, you may not need all the lines for your answer.

The businesses mentioned in the Question Paper are fictitious.

The number of marks is given in brackets [] at the end of each question or part question.

For Examiner's Use	
1	
2	
3	
4	
5	
Total	

This document consists of **14** printed pages and **2** blank pages.

- 1** For **each** of the questions **(a)** to **(j)** below, choose the response you consider to be correct and write the response in the box to indicate the correct answer.

- (a)** Musa's cash book bank balance was E7990 credit on 1 May 2025. The following transactions took place during May 2025.

Received commission by credit transfer E4500

Paid standing order for insurance E3000

How much was Musa's bank balance at 1 June 2025?

- A** E6490 debit
- B** E6490 credit
- C** E9490 debit
- D** E9490 credit

[1]

- (b)** Why is it important for a business owner to calculate profit?

- A** to ascertain the bank balance
- B** to ascertain the financial position
- C** to ascertain return on capital employed
- D** to ascertain total expenses

[1]

- (c)** Which account has a debit balance?

- A** discount received
- B** irrecoverable debts
- C** rent received
- D** returns outwards

[1]

- (d)** Soso's financial year ends on 30 September. On 1 October 2024 the commission received account had a balance of E200 credit. During the year Soso received a cheque of E1800 for commission.

On 30 September 2025 there was an outstanding commission of E150.

How much commission received should be transferred to the income statement on 30 September 2025?

- A** E1450
- B** E1750
- C** E1850
- D** E2150

[1]

(e) Which group contains only intangible assets?

- A bank, goodwill, rent accrued
- B brand name, goodwill, trademark
- C cash at bank, goodwill, trademark
- D motor vehicle, trade mark, brand name

☐ [1]

(f) Which statement describes the accounting policy of reliability?

- A The information in a financial report must be able to be depended on by users.
- B The information in a financial report must be able to be understood by users.
- C The information in a financial report must be capable of being compared with reports for other periods.
- D The information in a financial report must be made available in time for decisions to be made.

☐ [1]

(g) On 3 September 2025, Hlela sent an invoice to Phatfwa for E10 000. The terms of the transaction were 15% trade discount on orders over E9500 and 3% cash discount for amounts paid within 30 days.

Which amount did Hlela record in her accounts on 3 September 2025?

- A E8200
- B E8245
- C E8500
- D E9700

☐ [1]

(h) Which task is performed by an accountant?

- A analysing trading results
- B entering transactions in the ledger
- C preparing a reconciliation statement
- D recording in subsidiary books

☐ [1]

(i) Who is an internal user of accounting information?

- A business manager
- B potential customer
- C trade payable
- D trade union

☐ [1]

(j) Why would a financial institution be interested in a business's financial statements?

- A to calculate the rate of interest to be charged if loan is granted
- B to consider whether owner's drawings can be increased
- C to determine how the profit of a business may be improved
- D to determine the ability of a business to repay a loan

☐ [1]

[Total: 10]

- 2 Msona is a trader who sells goods on credit. The following account was extracted from his records on 31 July 2025.

Msona Mayime account							
2025			E	2025			E
Jul	1	Balance b/d	720	Jul	8	Returns	192
	6	Sales	7632		31	Bank	7974
	25	Sales	520		31	Discount	186
					31	Balance c/d	520
			<u>8872</u>				<u>8872</u>
Aug	1	Balance b/d	520				

REQUIRED

- (a) Explain the entries in Mayime's account on the following dates.

1 July 2025 Balance b/d E720

.....

.....

6 July 2025 Sales E7632

.....

.....

8 July 2025 Returns E192

.....

.....

31 July 2025 Bank E7974 and discount E186

.....

.....

.....

..... [9]

- (b) (i)** Name the account in which the double entry would be made for each of the following entries in Mayime's account.

The first one has been completed as an example.

Date 2025	Entry in Mayime's account	Double entry
6 July	Sales	<i>Credit sales account</i>
8 July	Returns	
31 July	Bank	
31 July	Discount	

[3]

- (ii)** Name and explain the principle applied when Msona completed double entry.

Principle

Explanation

..... [2]

- (c)** Prepare Msona's account in the books of Mayime for the month ended 31 July 2025. Balance the account and bring down the balance on 1 August 2025.

Mayime
Msona account

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..... [4]

Other transactions that took place in Msona's business included the following.

2025

July 1 invoice received from BS Motors for repairs to motor vehicle E1200
 July 7 interest charged on Smephi's overdue account E240
 July 16 took inventory for personal use E670

REQUIRED

- (d) Complete the table below to name the account to be debited and account to be credited for each of Msona's transactions on 1, 7 and 16 July.

Transaction date	Account to be debited	Account to be credited
1 July		
7 July		
16 July		

[6]

[Total: 24]

The following balances were extracted from his books on 30 September 2025.

	E
Revenue	60 500
Purchases	45 750
General expenses	8 750
Trade receivables	5 315
Trade payables	4 330
Rent payable	3 600
Interest on loan	500
Cash at bank	12 900
Wages and salaries	12 000
Capital	36 725
Bank loan	10 000
Fixtures and fittings at cost	20 000
Carriage inwards	1 740
Carriage outwards	1 000

REQUIRED

- (a)** Prepare Mcabango's trial balance at 30 September 2025.

Mcabango
Trial Balance at 30 September 2025

[8]

- (b) Indicate by placing a tick [✓] how each item would be recorded in Mcabango's financial statements. The first one has been completed as an example.

	Income statement		Statement of financial position	
	Trading account section	Profit and loss account section	Assets	Liabilities
Revenue	✓			
Bank loan				
Carriage inwards				
Rent payable				
Trade receivables				

[4]

Mcabango values his inventory at the end of each financial year. The following transactions took place during the period June to September 2025.

On 31 May 2025, Mcabango had 100 items valued at E30 each.

Date	Goods bought	Goods sold
June	100 @ E34	
July		140
August	440 @ E40	
September		420

REQUIRED

- (c) Complete Mcabango's inventory record card using the average cost (AVCO) method.

Date	Goods bought	Goods sold	Average cost / unit (E)	Number of units in inventory	Balance (E)
2025 May	100 @ E30		30	100	3000
June	100 @ E34			200	6400
July		140 @		60	1920
August	440 @ E40			500	19520
September		420 @		80	

[7]

At 30 September 2025 Mcabango misread the balance on his stock record card. This resulted in the closing inventory in the financial statements being overstated by E90.

REQUIRED

- (d) Complete the table by placing a tick [✓] in the correct column to show the effects of overvaluing Mcabango's inventory on each of the following on 30 September 2025.

	Overstated	Understated	No effect
Cost of goods available for sale			
Cost of sales			
Capital			
Assets			

[4]

- (e) Name and explain **two** other methods Mcabango could have used to value inventory.

- 1
-
-
- 2
-
- [4]

[Total: 27]

- 4 Sibuko, started a stationery business on 1 July 2024. On that date he deposited E30 000 in the business bank account. The following transactions took place.

2024

July 3 bought furniture by cheque, E5000
 July 6 bought goods on credit, E2500
 July 9 sold goods for E700 cash, the cost price for the goods was E500
 July 10 paid a credit supplier by cheque, E1000
 July 15 paid advertising by cheque, E600

REQUIRED

- (a) (i) Complete the following table to show the effects of transactions on Sibuko's accounting equation.

The first two have been completed as an example.

Date	Assets	E	Liabilities	E	Capital	E
Jul 3	<i>Bank</i>	25 000			<i>Capital</i>	30 000
	<i>Furniture</i>	5 000				
Jul 6	<i>Bank</i>	25 000	<i>Trade payables</i>	2500	<i>Capital</i>	30 000
	<i>Furniture</i>	5 000				
	<i>Inventory</i>	2 500				
Jul 9						
Jul 10						
Jul 15						

[7]

- (ii) Calculate Sibuko's working capital on 15 July 2024.

.....

 [2]

(b) State **two** differences between the following accounting terms and give **one** example of each.

(i) Non-current assets and current assets

1

.....

2

.....

Examples: non-current asset

current asset [4]

(ii) Non-current liabilities and current liabilities

1

.....

2

.....

Examples: non-current liability

current liability [4]

(c) State the meaning of each of the following accounting terms:

(i) capital employed

.....

..... [1]

(ii) capital owned

.....

..... [1]

[Total: 19]

[Turn over

The directors of LPK Ltd are considering comparing the performance of the company with that of a sole-trader Vovo who operates a supermarket on cash basis.

REQUIRED

- (b) Explain **three** problems that LPK Ltd directors may encounter when comparing the company's performance with that of Vovo.

- 1
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- 2
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.....
- 3
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..... [6]

[Total:20]

